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(xv) Manager's commission

Sometimes the manager is given commission as a percentage on profit of the business. It may be given at a certain percentage on the net profit before charging such commission or after charging such commission. Calculation procedure is explained below:x

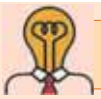
a) Commission on net profit before charging such commission:

$$\text{Commission} = \text{Net profit before charging commission} \times \frac{\text{Rate of commission}}{100}$$

b) Commission on net profit after charging such commission:

$$\text{Commission} = \text{Net profit before charging commission} \times \frac{\text{Rate of commission}}{(100+ \text{Rate of commission})}$$

The purpose of giving such commission may be to motivate the managers to work with their full potential, to reward the managers for their efficiency and to retain the efficient managers by rewarding them sufficiently. Such commission can be calculated only at the end of the accounting period after calculating net profit. Hence, it remains outstanding at the end of the accounting period.



Student activity

Think: Do you think only money can motivate managers? What other factors can effect motivation?

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Manager's Commission A/c	Dr.		xxx	
To Outstanding Manager's commission A/c				xxx
(Manager's commission on profit provided)				

Transfer entry

Particulars		L.F.	Debit `	Credit `
Profit and loss A/c	Dr.		xxx	
To Manager's commission A/c				xxx
(Commission on profit transferred)				

Presentation in final accounts

In Profit and loss account	Commission being an indirect expense is shown on the debit side of profit and loss account.
In Balance Sheet	Commission outstanding being a current liability is shown on the liabilities side of the balance sheet.